LIMITED COMPANY · DIVIDENDS

For most people, dividends are taxed at 10.75% now, not 8.75%.

If you take money out of your own company as a dividend, the basic rate went up on 6 April 2026. The first £500 in a tax year is still untaxed.

WHAT YOU PAY, BAND BY BAND

£500

Your first **£500** of dividends in a tax year is untaxed. Above that: **10.75%** at the basic rate, **35.75%** at the higher rate, **39.35%** at the additional rate.

> Your band is set by your total income, not by the dividend alone. Example: £2,000 of dividends at the basic rate — the first £500 free, the remaining £1,500 × 10.75% = £161.25.

WHO PAYS NOTHING

£12,570

If you have not used all of your **£12,570** Personal Allowance — the slice of income nobody taxes — the dividends that fit inside what is left are not taxed either. On top of the first £500.

> Dividends from shares held in an ISA are not taxed either. And the additional rate of **39.35%** did not change in April 2026.

LIMITED COMPANY · DIVIDENDS

Not sure what you keep from a dividend?

Send us the company's figures and we will set them out before you take the money. No obligation.

0330 133 1886

General information. For your own situation, speak to an accountant.